
13. An empirical study of the basis of refusal of EU trade marks for 3D marks

Ilanah Fhima

1. BACKGROUND

This research investigates the conditions under which three-dimensional (3D) shape marks are refused registration by the EU Intellectual Property Office (EUIPO). It forms part of a larger empirical project being completed by the author investigating the registration of 3D shape marks under EU trade mark law.¹

The registration of shape marks is controversial.² Until EU harmonisation in the 1990s, shape marks could not be registered in a number of jurisdictions in Europe,³ and even today, there remain calls for an end to, or limitation of, their protection under trade mark law.⁴ The purpose of registration is to protect the role that trade marks have of indicating the commercial origin of goods and services. While shapes are capable of performing this function, consumers are not always accustomed to deriving messages about origin from the shape of product or their packaging, rather than, for example, words or logos that they may also feature.⁵ Moreover, product and packaging shapes may have other functions too. In protecting shapes of products in particular, the fear is that trade mark owners will end up with a monopoly on how

¹ Currently, Directive (EU) 2015/2436 to approximate the laws of the Member States relating to trade marks, OJ L 336/1 (23 December 2015) (EUTMD) and Regulation (EU) 2017/1001 of the European Parliament and of the Council of 14 June 2017 on the European Union trade mark (codification), OJ L 154/1 (16 June 2017) (EUTMR).

² See, e.g. Graeme Dinwoodie, 'Non-Traditional Marks in Europe: Conceptual Lessons from their Apparent Demise?', NYU Colloquium, Draft of 4 February 2019, available at <http://www.law.nyu.edu/sites/default/files/upload_documents/Graeme%20Dinwoodie.pdf> accessed 27 May 2022, p. 3; also Irene Calboli and Martin Senftleben (eds), *The Protection of Non-Traditional Trademarks: Critical Perspectives* (OUP, 2018).

³ Annette Kur, 'Yellow Dictionaries, Red Banking Services, Some Candies, and a Sitting Bunny: Protection of Color and Shape Marks from a German and European Perspective' in Irene Calboli and Martin Senftleben, *Non-Traditional Trademarks*, n 2, p. 89 mentions Germany, Italy, Austria and Greece. The same was true of product packaging in the UK – see *In re Coca-Cola Co.* [1986] 1 WLR 693.

⁴ Particularly in the USA – see e.g. Christopher Buccafusco and Mark Lemley, 'Functionality Screens' (2017) 103(7) *Virginia Law Review* 1293, 1373; Robert Bone, 'Functionality Reexamined' (2015) 7(1) *Journal of Legal Analysis* 183; Caitlin Canahai and Mark McKenna, 'The Case Against Product Configuration Trade Dress' in Graeme Dinwoodie and Mark Janis (eds), *Research Handbook on Trademark Reform* (Edward Elgar, 2019), though this would not be permitted under the TRIPs agreement – see Annette Kur, 'Too Common, Too Splendid or "Just Right"? Trade Mark Protection for Product Shapes in the Light of CJEU Case Law' (2014) Max Planck Institute for Innovation and Competition Research Paper No 14-17, p. 27.

⁵ *Henkel v OHIM* (Joined Cases C-456/01 P and 457/01 P) [2004] ETMR 87, ECLI:EU:C:2004:258, [38].

a particular product works, or on product features that otherwise appeal to consumers,⁶ thereby overlapping with (and potentially duplicating/undercutting) the existing protection that is offered by the patent, design and copyright systems⁷ and making it impossible for competitors to compete effectively.⁸

Nevertheless, under European trade mark law, *any* sign can be registered as a trade mark as long as it is capable of distinguishing and of being represented on the Trade Mark Register. This explicitly includes the shape of goods and their packaging.⁹ However, there are a number of reasons why this presumption of registrability may not apply, and hence why marks may be refused registration. Of particular relevance to 3D marks are the exclusions from registration found in Article 7(1)(e) EUTMR (corresponding to Article 4(1)(e) EUTMD). Indeed, until relatively recently these exclusions were limited to signs consisting exclusively of the shape of goods,¹⁰ though this has recently been expanded to include non-shape characteristics. For shape marks, the Article 7(1)(e) exclusions apply to signs which consist exclusively of: shapes which result from the nature of the goods themselves (also known as ‘the first indent’),¹¹ shapes which are necessary to obtain a technical result (‘the second indent’)¹² and shapes that add substantial value to the goods (‘the third indent’).¹³ These exclusions are particularly

⁶ Under Art.7(1)(e)(iii) EUTMR – see Ilanah Fhima, ‘Consumer Value as the Key to Trade Mark Functionality’ (2022) 85(3) *Modern Law Review* 661, 669–670.

⁷ *Koninklijke Philips Electronics NV v Remington Consumer Products Ltd* (Case C-299/99) [2002] ETMR 81; ECLI:EU:C:2002:377, [82]; *Lego Juris v OHIM* (Case C-48/09 P) [2010] ETMR 63; ECLI:EU:C:2010:516, [46].

⁸ *Philips v Remington*, n 7, [78]; *Lego Juris*, n 7, [46]. On the policies underlying Art.7(1)(e)(ii) see further Apostolos Chronopoulos, ‘De Jure Functionality of Shapes Driven by Technical Considerations in Manufacturing Methods’ [2017] *Intellectual Property Quarterly* 286, 291–293. Thus, scholars have identified a common competition-based policy underlying the various Art.7(1)(e) exclusions – see Uma Suthersanen and Marc Mimler, ‘An Autonomous EU Functionality Doctrine for Shape Exclusions’ (2020) 69(6) *GRUR International* 567; Antoon Quaadvlieg, ‘Shapes which give substantial value to the goods: Towards a systematic and homogeneous protection of designs in the EU’ in Marie-Christine Janssens and Geertrui van Overwalle (eds), *Harmonisation of European IP Law: From European Rules to Belgian Law and Practice: Contributions in Honour of Frank Gotzen* (Bruylant/Larcier, 2012), 202; Eleonora Rosati, ‘The absolute ground for refusal or invalidity in Article 7(1)(e)(iii) EUTMR/4(1)(e) (iii) EUTMD: in search of the exclusion’s own substantial value’ (2020) 15(2) *Journal of Intellectual Property Law & Practice* 103, 107.

⁹ EUTMR Art.4.

¹⁰ EUTMD replaces Directive 2008/95/EC of the European Parliament and of the Council of 22 October 2008 to approximate the laws of the Member States relating to trade marks [2008] OJ L 299/25, which in turn replaced the First Council Directive 89/104/EEC of 21 December 1988 to approximate the laws of the Member States relating to trade marks [1989] OJ L 40/1. There have been three versions of the Regulation governing pan-EU trade marks: Council Regulation (EC) 40/94 of 20 December 1993 on the Community trade mark [1994] OJ L 11/1 was amended by Council Regulation (EC) 207/2009 of 26 February 2009 on the Community Trade Marks [2009] OJ L 78/1, which was amended by Regulation (EU) 2015/2424 of the European Parliament and of the Council of 16 December 2015 [2015] OJ L 341/21. The latter was repealed by EUTMR which took effect from 1 October 2017.

¹¹ Art.7(1)(e)(i). The reference to ‘indents’ originates from the unnumbered provisions of Art.3(1)(e) of the original Trade Mark Directive of 1989, which was cited in the early case law relating to these exceptions.

¹² Art.7(1)(e)(ii).

¹³ Art.7(1)(e)(iii).

designed to take into account the fact that registering the shape of goods – even one serving as a distinctive trade mark – brings with it the risk to competition, as mentioned above.¹⁴

In addition to the Article 7(1)(e) exclusions, shape marks may also encounter difficulties relating to whether they are distinctive.¹⁵ The position adopted by the CJEU is that, while the standard of distinctiveness required is the same for all forms of marks, in practice consumers are not used to inferring messages concerning the origin of goods from their shape.¹⁶ Consequently, shape marks will only be viewed as inherently distinctive if they depart significantly from the norms of the sector concerned. It should be noted though that under EU law (and unlike in the USA¹⁷), there is no *a priori* bar on shape marks being considered inherently distinctive, and so some shape marks can be registered without evidence of acquired distinctiveness.

The other grounds for refusal of registration may apply to shape marks, in the same way that they would apply to any form of mark. In particular, a shape may be viewed as descriptive.¹⁸ Descriptiveness may also come into play where there is an attempt to register a non-distinctive shape with a descriptive term printed or embossed upon it. Shape marks may also be barred from registration under the relative grounds if they are confusingly similar to, dilute or take advantage of an earlier mark.¹⁹

2. AIMS OF THIS RESEARCH

This project aims to understand which factors are driving the refusal of registration of 3D marks in Europe with a view to commenting on whether the approach to 3D marks gives rise to significant competition concerns. Given the fact that the Article 7(1)(e) ground was originally included in the Regulation as a competition-saving measure for 3D marks,²⁰ it might be assumed that it should play the leading role in the refusal of registration of such marks. However, the provision has been criticised as difficult to understand.²¹ The scope of the natural shape exclusion remains murky. Also, evidencing technical function or substantial value can be complicated, requiring technical expertise and evidence gathering. It is evident from the CJEU's case law that lack of distinctiveness also plays an important role in relation to the registrability of product shapes. Thus, this research seeks to determine whether it is

¹⁴ *Philips v Remington*, n 7, [78]; *Lego Juris*, n 7, [46]. See Ilanah Fhima, 'Technical functionality in European trade mark law' (2021) 137 *Law Quarterly Review* 113 for more commentary on the policies that underlie the shape exclusions.

¹⁵ Art.7(1)(b) EUTMR.

¹⁶ *Henkel v OHIM*, n 5, [39]; *Mag Instrument Inc v OHIM* (Case C-136/02 P) [2005] ETMR 46; ECLI:EU:C:2004:592, [31]; *Linde AG, Winward Industrie Inc and Rado Uhren AG v Deutsches Patent- und Markenamt* (Joined Cases C-53/01 to C-55/01) [2003] ETMR 78; ECLI:EU:C:2003:206, [69].

¹⁷ In the USA, product design (termed 'product configuration') can only be protected on proof of acquired distinctiveness (termed 'secondary meaning') whereas product packaging may be protected as 'inherently distinctive', see *Wal-Mart Stores, Inc. v Samara Bros.* 529 U.S. 205 (2000), 213–216.

¹⁸ Art.7(1)(c).

¹⁹ Arts 8(1)(a), 8(1)(b) and 8(5).

²⁰ Although Art.7(1)(e) now applies to any characteristic of the goods, as discussed above, following the updating of the law in the EUTMR and EUTMD.

²¹ See, e.g. Annette Kur's detailing of the various uncertainties in the provision in 'Too Common', n 4, especially pp. 14–25; also Dinwoodie, *Conceptual Lessons*, n 2.

functionality or lack of distinctiveness that is playing the more prominent role in the refusal of registration. This is particularly important given that the Max Planck Institute, in its 2011 report on the trade mark system, argued that the substantial value exclusion in particular could be abandoned as the same result would be achieved by employing the distinctiveness and descriptiveness exclusions.²² Thus, this research seeks to determine the extent to which these two provisions overlap with 3D shape marks being refused on both functionality and on distinctiveness grounds.

On the issue of distinctiveness, while shape marks can be inherently distinctive in principle, in practice, few pure product shapes are held to deviate sufficiently far from ‘the norm’ to satisfy the CJEU’s test. Thus, we might expect that applicants for registration who face an Article 7(1)(b) objection will try to provide evidence of acquired distinctiveness, if the shape mark in question has been in use for a period prior to filing.²³ Indeed, providing such evidence of secondary meaning would be the standard practice in the USA. Thus, this research investigates how often acquired distinctiveness was claimed in relation to refused marks.

Finally, this project investigates whether any particular characteristics of shape marks lead to marks being refused more frequently. It considers whether the shape of products or of packaging are refused registration most often. Additionally, it considers the impact that adding additional potentially distinctive matter, such as a colour, word mark or trade dress might have in overcoming objections to registration.

3. EXISTING LITERATURE

There is now a distinct and growing literature on the empirical analysis of intellectual property in the UK and EU investigating not only the substantive law,²⁴ but also which factors and actors²⁵ influence the development of that law.

However, empirical studies of trade mark law are relatively few in number. There are a number of studies examining the reasoning of courts in trade mark cases. Jane Cornwell²⁶ has

²² Max Planck Institute for Innovation and Competition, *Study on the Overall Functioning of the European Trade Mark System* (Munich, 2011), [2.34].

²³ On the importance of acquired distinctiveness in relation to non-traditional marks, see Dinwoodie, *Conceptual Lessons*, n 2, pp. 4–5.

²⁴ See, for example, Marcella Favale, Martin Kretschmer and Paul Torremans, ‘Is There an EU Copyright Jurisprudence? An Empirical Analysis of the Workings of the European Court of Justice’ (2016) 79(1) *Modern Law Review* 31; Oliver Church, Estelle Derclaye and Gilles Stupfler, ‘An Empirical Analysis of the Design Case Law of the EU Member States’ (2019) IIC 50 685.

²⁵ See, for example, Estelle Derclaye, ‘The multifaceted influence of the Advocates General on the Court of Justice’s copyright case law: legal secretaries, literature and language’ in Eleonora Rosati (ed), *Routledge Handbook of EU Copyright Law* (Routledge, 2021); Marcella Favale, Martin Kretschmer and Paul Torremans, ‘Who is steering the jurisprudence of the European Court of Justice? The influence of Member State submissions on copyright law’ (2020) 83(4) *Modern Law Review* 831; Oliver Church, Estelle Derclaye and Gilles Stupfler, ‘Design litigation in the EU Member States: Are overlaps with other intellectual property rights and unfair competition problematic and are SMEs benefitting from the EU design legal framework?’ (2021) 46(1) *European Law Review* 37; Emily Hudson, *Drafting Copyright Exceptions* (CUP, 2020).

²⁶ Jane Cornwell, ‘Playing by its own rules? A quantitative empirical analysis of justificatory legal reasoning in the registered trade mark case law of the European Court of Justice’ (2021) 46(5) *European Law Review* 647.

studied modes of legal reasoning in the CJEU's trade mark jurisprudence, dividing them into literal, systemic and purposive reasoning. She finds that systemic rather than purposive reasoning dominates, but that in a significant number of cases, the reasoning is 'missing', calling into question the transparency of the Court's decision making. Inspired by Barton Beebe's study of infringement factors in the USA,²⁷ this author²⁸ has conducted a study considering which factors were most influential in finding likelihood of confusion in the General Court's trade mark jurisprudence, and which, despite being part of the confusion test formulated by the CJEU, had little impact.

A recent addition to the literature uses empirical methodology not to analyse the jurisprudence of which trade marks have been refused or allowed registration, but rather as a practical tool to estimate market power derived from different forms of trade dress in an attempt to allow courts to quantify competitive effects in applying the aesthetic functionality doctrine in the USA.²⁹ Xiaoren Wang's study uses data on the frequency with which particular colours of goods are stocked on Amazon as a proxy for their desirability to consumers.

There are also a number of empirical studies of aspects of trade mark registration in the European Union. One line of research examines whether there are so many trade marks registered that registration impedes, rather than promotes, competition. Barton Beebe and Jeanne Fromer, having analysed the entirety of the body of trade marks applied for before the EUIPO, argue that there is a problem of trade mark depletion which forms a significant barrier to entry for new businesses because all of the suggestive, or otherwise 'useful' brand names are already owned.³⁰ This builds on their similar study in relation to the US Trademark Register.³¹ Georg von Graeventiz³² studies the registration of pharmaceutical names, finding that EU enlargement in 2004 led to a greater risk of those names being unregistrable because of conflicts with an increased number of earlier marks, and also the added risk of the mark being objectionable in the language of one of the accession states. Thus von Graeventiz concludes that the number of suitable trade marks is not infinite and congestion effects are possible. Problems of congestion certainly form the backdrop to this piece of research with the fear that if it is too easy to register shape marks, not only will it be difficult to register shapes as *marks*, but it will also be impossible for competitors to offer the *product* embodied as the mark to consumers, i.e. clutter on the market and not just on the register.

Closer to this research is Mitchell Adams and Amanda Scardamaglia's twenty-year study of the registration of non-traditional trade marks.³³ Their research is of significantly wider geographical scope, covering the registers of the EUIPO, the United Kingdom (UK), Singapore,

²⁷ Barton Beebe, 'An Empirical Study of the Multifactor Tests for Trademark Infringement' (2006) 94(6) *California Law Review* 1581.

²⁸ Ilanah Simon Fhima and Catrina Denver, 'An Empirical Analysis of the Likelihood of Confusion Factors in European Trade Mark Law' (2015) 46(3) *IIC* 310.

²⁹ Xiaoren Wang, 'Trade Dress Protection and Its Impact on Competition: An Attempt at an Empirical Approach' (2022) 112(3) *Trademark Reporter* 644.

³⁰ Barton Beebe and Jeanne Fromer, 'The Future of Trademarks in a Global Multilingual Economy: Evidence and Lessons from the European Union' (2022) 112 *The Trademark Reporter* 902.

³¹ Barton Beebe and Jeanne Fromer, 'Are We Running Out of Trademarks? An Empirical Study of Trademark Depletion and Congestion' (2018) 131(4) *Harvard Law Review* 945.

³² Georg von Graeventiz, 'Trade Mark Cluttering – Evidence from EU Enlargement' (2013) 65(3) *Oxford Economic Papers* 721.

³³ Mitchell Adams and Amanda Scardamaglia, 'Non-Traditional Trademarks: An Empirical Study' in Calboli and Senftleben, *Non-Traditional Trademarks*, n 2, pp. 37–58.

Japan and Australia. They found that of all non-traditional marks, shape marks dominate. They also track the number of applications over time, finding that the number has decreased following an initial flurry of activity following the opening of the EUIPO, as well as which classes the marks were applied for. This study is of particular interest in the context of this research because, as the authors note, Australia does not have a functionality exclusion.³⁴ We might therefore expect a disproportionately large number of shape applications in Australia compared to other jurisdictions. Yet, Australia has in fact experienced negative growth in terms of non-traditional trade marking activity.³⁵

Also allied to this research is Carolina Castaldi's study of non-traditional marks registered in the USA up to 2016.³⁶ She examines which of these marks have been registered, and also by whom. It should be noted though that the US context is different to that in the EU, since US law requires marks comprising of product shape alone to have acquired a secondary 'trade mark' meaning, whereas in the EU, inherent distinctiveness can suffice. This poses particular challenges in relation to empirically analysing the protection or otherwise of 3D marks in the US. The US system is use-based, and marks are protected in the absence of registration. Given the difficulty and cost of demonstrating secondary meaning, the risk of having to demonstrate that one's mark is not functional and the fact that unregistered protection is broadly comparable, many would-be mark owners will wait to establish the scope of their rights through litigation if faced with a copyist. Thus, the US Register is not wholly reflective of which 3D shape marks actually would be protected in the USA. For good measure, where such marks are registered, the US Patent and Trademark Office search facility does not include a category for 3D marks, making the identification of such marks challenging.³⁷

The focus of this research is somewhat different to those detailed above. This project and the preceding studies have empirical methodology in common, and indeed in the case of many of those detailed, a focus on registration. However, this project specifically examines which marks have been *refused* registration, rather than the whole universe of those applied for. In particular, and unlike previous studies, this project also considers the reasons for those refusals in detail.

4. HYPOTHESES

To examine which marks are being refused registration at the EUIPO and why, the following hypotheses will be considered:

1. **More product shapes have been refused registration than shapes of packaging** – we might expect more product shapes have been refused registration because packaging has traditionally served a role in distinguishing between like goods from different sources, whereas the shape of a product is more likely to embody what consumers are seeking in

³⁴ Ibid, 42.

³⁵ Ibid, 57.

³⁶ Carolina Castaldi, 'The Economics and Management of Non-Traditional Trademarks: Why, How Much, What, and Who?' in Calboli and Senftleben, *Non-Traditional Trademarks*, n 2, pp. 227–270.

³⁷ I am grateful to Jeanne Fromer for these observations.

a good and/or how the goods function, and so the registration of products is more likely to have a negative effect on competition.

2. **More black and white marks have been refused registration than colour marks** – registration of a black and white mark grants protection against use of that mark in every colourway. Thus, a black and white registration will have a greater impact on availability, and hence competition, and so we might expect it to be more difficult to register such a mark, than one filed in a specific colour or combination of colours.
3. **More marks without additional non-3D characteristics have been refused registration than those with** – similarly, a mark consisting exclusively of the shape of a product would grant its owner the ability to block third parties from using the product itself, whereas the addition of non-shape matter, such as wording, a logo or other decorative elements might suggest that the owner's claim is limited to that specific qualified embodiment of the product.
4. **Functionality plays a significant role in 3D marks being refused registration** – since Article 7(1)(e) was originally a bespoke exclusion created for shape marks, and given the important competition-protecting function that the CJEU has found that the provision has, we might expect the provision and its subcategories to play a prominent role in 3D shape marks being refused registration.
5. **Lack of distinctiveness is the most common reason for marks to be refused** – nonetheless, given the complications involved in demonstrating functionality, we might expect lack of distinctiveness to play an important role blocking the registration of shape marks that might interfere with competition.
6. **Acquired distinctiveness is frequently argued in order to overcome an objection that a shape mark is devoid of distinctiveness** – the CJEU has held that many shape marks will be non-distinctive because consumers are not used to viewing the shape of goods in particular as indicative of origin.³⁸ However, the legislation allows for a lack of inherent distinctiveness to be overcome by evidence of acquired distinctiveness.³⁹ Given that the registration of the mark is otherwise doomed to certain failure, we might expect that applicants for shape marks which have been refused for lack of inherent distinctiveness will have frequently tried to demonstrate acquired distinctiveness, as is the required practice in the USA, given that product shapes there can *only* be registered on proof of secondary meaning.⁴⁰

5. METHODOLOGY

To test these hypotheses, an original dataset was created, including all 3D shape European Union Trade Marks (EUTMs) filed during the five-year period 1 January 2017 to 31 December 2021 that were refused registration. These marks were located using the EUIPO's 'Advanced Search' function on 'eSearch Plus'.⁴¹ To locate just the 3D shape marks, '3D shape' was

³⁸ *Linde AG*, n 16, [69].

³⁹ Article 7(3) EUTMR.

⁴⁰ See n 17.

⁴¹ See <<https://euipo.europa.eu/eSearch/#advanced/trademarks>> accessed on 30 May 2022.

chosen in the ‘Trade mark type’ field. This field is selected by trade mark applicants on their application forms. Such marks are defined in the EUIPO Guidelines as a:

mark consisting of, or extending to, a three-dimensional shape, including containers, packaging, the product itself or its appearance. The term ‘extending to’ means that shape marks cover not only shapes per se, but also shapes that contain other elements, such as word elements, figurative elements or labels.⁴²

The fact that it is the applicant who decides whether the mark fits in this category means that there are some atypical examples which go beyond the shape of goods and their packaging, such as logos with shading that makes them appear three-dimensional. Nonetheless, it was decided to retain those marks in the dataset because (a) that is how they are categorised within the EU Register and (b) the EUIPO has the power to demand that marks be recategorized, but has chosen not to do so in relation to these marks.⁴³

‘Application Refused’ was selected for ‘Trade mark status (EUTM)’ and ‘01/01/2017’ to ‘31/12/2021’ were entered into the ‘Filing date’ field. It would have produced a more stable dataset if refusal date could have been used as the chronological limit of the study. However, while refusal dates are visible in the timelines included as part of the official record of individual marks, the EUIPO does not index marks according to refusal dates, and therefore there is no way of searching for refusals dated according to a specific period. The challenge with using filing dates is that the size of the dataset changes over time because each refusal takes a different amount of time to issue, depending on the nature of the objection, etc. Thus, the study was limited to all marks with a filing date falling within the aforementioned range that had been refused as of 1 May 2022.

These parameters produced a dataset of 294 refused applications. To put this number into perspective, in total 2024 3D shape marks were applied for during the five-year period of this study, of which 1462 had proceeded to registration at the time of writing.⁴⁴

Details of the refused marks were initially coded in Excel. Data was collected in relation to the following:

- the trade mark number,
- the description of the mark,
- whether it was for a product or packaging or other,
- whether it was colour or black and white,
- which Nice Classes had been designated,
- the filing and refusal dates,
- the presence and nature of any non-shape elements of the sign,
- whether acquired distinctiveness had been considered and whether it had been found,
- the grounds for the refusal of registration, in particular lack of distinctiveness, descriptiveness, the three Article 7(1)(e) grounds for refusal, relative grounds and any other ground.

⁴² EUIPO Guidelines for Examination of European Union Trade Marks, Part B, Section 2, Ch. 9.3.3, (March 2022 version).

⁴³ See Art.3(3)(c) EUTMIR – for an example see EUTM No. 018458471 (LA MILANESINA), Decision of 26/04/2021.

⁴⁴ As of 13 July 2022. The remaining marks were either withdrawn, still subject to examination or appeal, or were cancelled or surrendered.

This information was gathered by the author from the EUIPO's electronic record for each of the refused trade marks. Most of the information could be found on the file record itself. However, the grounds on which the mark was refused, as well as whether acquired distinctiveness had been argued, were derived by the author from reading the Ruling on Opposition (or appeals where appropriate) included within the file record.⁴⁵ It should be noted though that in 43 cases, this ruling was missing,⁴⁶ making it impossible to determine why the mark was refused registration. For these signs, only the data regarding the mark itself and the relevant dates were recorded.

The dataset was then imported into SPSS⁴⁷ for statistical analysis to test the hypotheses. Bar and pie charts were generated in Excel.

It should be noted that we cannot deduce from the data used in this chapter which types of mark are more likely to be refused registration than others. Rather, this data shows us in absolute terms how many product shapes and how many packaging shapes were refused registration, and the same for colour versus black and white marks and those with or without non-3D shape matter. This is because the data set includes refused marks only. To tell how *likely* it is that one form of mark versus another would be refused registration, we would need to examine both those marks which are refused registration *and* those which were applied for. Only by knowing, for example, the percentage of product and packaging shapes *applied for* that result in refusals could we conclude that product shapes are more likely to be refused registration than packaging if equal numbers of shapes of products and shapes were applied for. This would be even more true if fewer product shapes than packaging shapes were applied for, and yet more product shapes were refused. Equally, if far more product shapes are applied for than packaging shapes, it would not be surprising that there were more product shape refusals in absolute terms. The same would be true in relation to colour and non-3D matter. Thus, further research (which is planned to form part of the wider project), is required to understand the relative likelihood of each of these characteristics of shape marks being refused registration. It should further be noted that what this study cannot capture is information regarding shape mark applications which have been withdrawn prior to refusal to prevent the grounds for a likely refusal from being made public.

6. RESULTS

This next section tests the hypotheses by reference to the data gathered and analysed.

⁴⁵ In fact, the file record also details the provision under which the mark was refused registration. However, the author found that this information did not always capture the full reasons, particularly where there were multiple reasons for refusal. Additionally, it did not always document when acquired distinctiveness was argued unsuccessfully.

⁴⁶ Attempts were made to secure these missing decisions from the EUIPO, this was successful for some, but not all, of the marks.

⁴⁷ SPSS – standing for ‘Statistical Package for the Social Sciences’ – is data analysis software, acquired by IBM, and now officially known as IBM SPSS Statistics.

6.1 Are More Product Shapes Refused Registration than Packaging?

It was hypothesised that more product shapes would be refused registration than packaging. Descriptive statistics were used to test this hypothesis. As can be seen below, this hypothesis was proven to be correct. 65%⁴⁸ (n.191) of 3D marks refused registration consisted of the 3D shape of products while less than half of this, 28.9% (n.85), consisted of the shape of packaging. It should be noted that there were a small number of refused marks that did not fit neatly into either category. There were two logo marks, consisting of words and devices which presumably were labelled as 3D shape marks because they had shading that made them appear 3D. There were also seven marks which I classed as ‘other’. These tended to be marks for services, rather than goods, where the shape depicted was for subject matter related to the service (e.g. the shape of a glass of Martini for services in Class 43⁴⁹). Finally, there were a small number of marks which covered a range of goods meaning that it was potentially the shape of the product for some, but the shape of packaging for others. For example, the shape of an inhaler⁵⁰ was registered for both inhalers (product) and pharmaceutical preparations (packaging). See Table 13.1 and Figure 13.1 for an overview of these findings.

Table 13.1 Refusals by mark type in relation to products and packaging

		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	Logo	2	0.7	0.7	0.7
	Other	7	2.4	2.4	3.1
	Packaging	85	28.9	28.9	32.0
	Product	191	65.0	65.0	96.9
	Product and Other	2	0.7	0.7	97.6
	Product and Packaging	7	2.4	2.4	100.0
	Total	294	100.0	100.0	

6.2 Are More Black and White Marks Refused Registration than Colour Marks?

It was hypothesised that more black and white marks would be refused registration than colour marks. Descriptive statistics were used to test this hypothesis. As Table 13.2 and Figure 13.2 show, this hypothesis was proven to be correct: 185 of the refused marks were black and white, equating to 62.9% of the sample. This is considerably more than the 109 colour marks (37.1%) which were refused.

6.3 Are More Marks without Additional Non-3D Characteristics Refused Registration than Those With?

It was hypothesised that more signs which consisted only of the 3D shape would be refused registration than those which had additional non-3D characteristics (such as logos, wording,

⁴⁸ Note that because 43 decisions were missing, SPSS generates percentages in terms of the absolute numbers of marks refused, and ‘valid percentages’, excluding the marks where the reasons for refusal were missing. References herein will be to valid percentages.

⁴⁹ EUTM No. 018049127.

⁵⁰ EUTM No. 018172665.

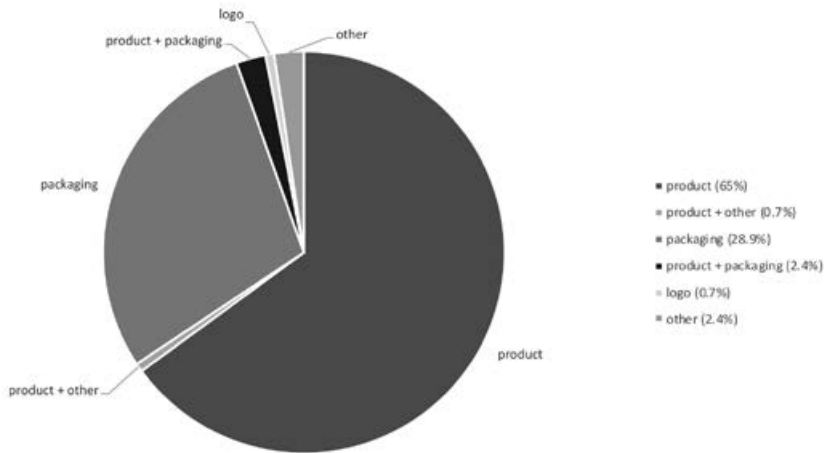


Figure 13.1 Percentage of refusals by mark type

Table 13.2 Refusals by colour of trade mark

		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	Black and white	185	62.9	62.9	62.9
	Colour	109	37.1	37.1	100.0
	Total	294	100.0	100.0	

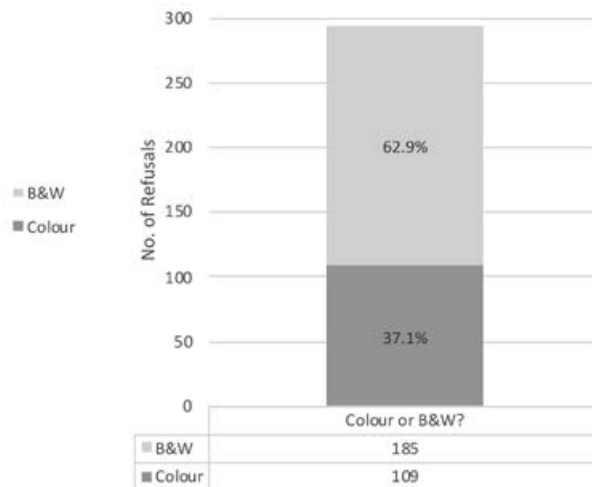


Figure 13.2 Number/percentage of refusals by colour claim

Table 13.3 *Refusals by presence/absence of non-3D features*

		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	Absent	235	79.9	79.9	79.9
	Present	59	20.1	20.1	100.0
	Total	294	100.0	100.0	

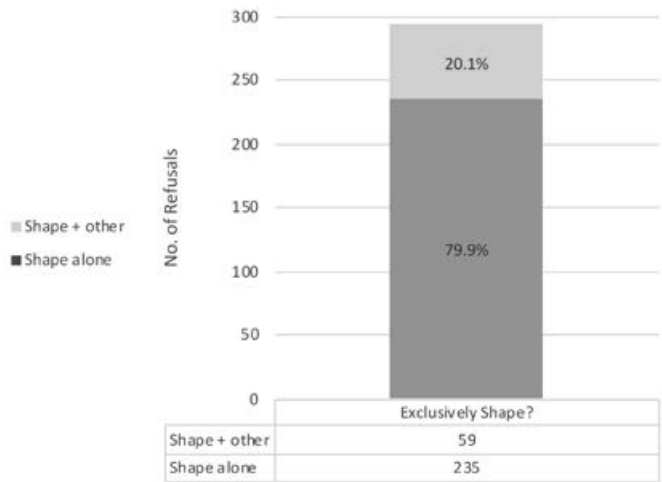


Figure 13.3 *Number/percentage of refusals by presence/absence of non-3D features*

getup etc.). This was proven to be correct using descriptive statistics: 79% (n.235) of the refused marks featured no non-3D characteristics (see Table 13.3 and Figure 13.3).

However, 20.1% (n.59) of the refused marks did have non-3D characteristics which were insufficient to overcome the objection to registration. One might expect the addition of non-3D characteristics to overcome any objection based on lack of distinctiveness. It was therefore further hypothesised that, for those marks which included non-3D features, the ground for refusal was likely to be something other than lack of distinctiveness, e.g. the relative grounds for refusal. Crosstabulation⁵¹ was used to test this hypothesis. See Tables 13.4–13.7 for more detail.

First, it should be noted that, as described above, the ground for refusal is not available for some of the marks. The grounds were available for 45 of the 59 marks which had non-3D features but were nonetheless refused registration.

- 29 of those marks lacked distinctiveness.
- 0 were technically functional.
- 3 added substantial value to the goods.
- 13 were rejected based upon relative grounds.

⁵¹ A crosstabulation, or contingency, table shows the relationship between two or more variables by recording the frequency of observations that have multiple characteristics.

Table 13.4 *Crosstabulation of presence of non-3D features and refusal on basis of Art.7(1)(b) (Lack of distinctiveness)*

		Art.7(1)(b)		Total
		Not raised	Raised	
Presence of non-3D features	Absent	3	203	206
	Present	16	29	45
Total		19	232	251

Table 13.5 *Crosstabulation of presence of non-3D features and refusal on basis of Art.7(1)(e)(ii) (Second Indent)*

		Art.7(1)(e)(ii)		Total
		Not raised	Raised	
Presence of non-3D features	Absent	193	13	206
	Present	45	0	45
Total		238	13	251

Table 13.6 *Crosstabulation of presence of non-3D features and refusal on basis of Art.7(1)(e)(iii) (Third Indent)*

		Art.7(1)(e)(iii)		Total
		Not raised	Raised	
Presence of non-3D features	Absent	199	7	206
	Present	42	3	45
Total		241	10	251

Table 13.7 *Crosstabulation of presence of non-3D features and refusal on basis of relative grounds*

		Relative Grounds		Total
		Not raised	Raised	
Presence of non-3D features	Absent	205	1	206
	Present	32	13	45
Total		237	14	251

Thus, the further hypothesis was proven to be incorrect, and the majority of those marks which feature non-3D characteristics but were nonetheless refused registration were refused because of a lack of distinctiveness. An objection based on relative grounds was the next most common ground for refusal. None of the examples of this category of marks were found to be technically functional under the second indent.

6.4 Does Functionality Play a Significant Role in 3D Marks Being Refused Registration?

It was hypothesised that, Article 7(1)(e), as the provision created originally to consider the particular dangers to competition posed by shape marks, would play a major role in the ground for which 3D shape marks were refused. However, using descriptive statistics to track the frequency with which each of the Article 7(1)(e) grounds was relied upon as a ground for refusal suggests that this hypothesis is *untrue*.

Table 13.8 *Refusals on basis of Art. 7(1)(e)(ii) (Second Indent)*

		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	Art.7(1)(e)(ii) not raised	238	81.0	94.8	94.8
	Art.7(1)(e)(ii) raised	13	4.4	5.2	100.0
	Total	251	85.4	100.0	
Missing		43	14.6		
Total		294	100.0		

Table 13.9 *Refusals of basis of Art. 7(1)(e)(iii) (Third Indent)*

		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	Art.7(1)(e)(iii) not raised	241	82.0	96.0	96.0
	Art.7(1)(e)(iii) raised	10	3.4	4.0	100.0
	Total	251	85.4	100.0	
Missing		43	14.6		
Total		294	100.0		

Table 13.10 *Refusals on basis of Art. 7(1)(e)(i) (First Indent)*

		Art.7(1)(e)(ii)		Total
		Not raised	Raised	
Art.7(1)(b)	Not raised	18	1	19
	Raised	220	12	232
Total		238	13	251

Table 13.11 *Crosstabulation: refusals on basis of Art. 7(1)(b) (lack of distinctive character) and refusals on basis of Art. 7(1)(e)(ii) (Second Indent)*

		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	Art.7(1)(e)(i) not raised	251	85.4	100.0	100.0
Missing		43	14.6		
Total		294	100.0		

The second indent (characteristics which are necessary to obtain a technical result) relates to how things work, and therefore perhaps is the ground that is most protective of competition, and is what is commonly thought of as functionality. However, as can be seen in Table 13.8, it was raised in just 4.4% (n.13) of refusals studied.

The third indent (characteristics which add substantial value to the goods) was relied on in even fewer instances – 3.4% (n.10) of the refusals studied (Table 13.9).

Finally, the first indent (characteristics resulting from the nature of the goods themselves) was not raised in *any* of the refusals studied (Table 13.10).

Given the surprising lack of reliance on the Article 7(1)(e) grounds for refusal, it was decided to explore how many examples there were of functionality alone serving as the ground for refusal of registration. This was considered via a cross tabulation with the ground for refusal most likely to overlap with Article 7(1)(e), lack of distinctive character. The results demonstrate that technical functionality and substantial value were the sole ground for the

Table 13.12 *Crosstabulation: refusals on basis of Art.7(1)(b) (lack of distinctive character) and refusals on basis of Art.7(1)(e)(iii) (Third Indent)*

		Art.7(1)(e)(iii)		Total
		Not raised	Raised	
Art.7(1)(b)	Not raised	18	1	19
	Raised	223	9	232
Total		241	10	251

refusal of registration in just one decision each.⁵² This means that in every other functionality case, the Article 7(1)(e) grounds overlapped with the devoid of distinctive character grounds (see Tables 13.11 and 13.12).

6.5 Is Lack of Distinctiveness the Most Common Reason for Marks to be Refused?

It was hypothesised that lack of distinctiveness would be the most common reason for marks to be refused registration. Descriptive statistics were used to analyse which ground was most commonly used as the basis of marks being refused. It should be remembered that a mark can be refused for more than one reason.

The data below demonstrates that lack of distinctiveness was by far the most common reason for marks to be refused registration in 92.4% of decisions for which the reasons are present (n.232). Thus, the hypothesis was proved to be correct. Next were the relative grounds, raised in just 5.6% decisions (n.14). The second indent (5.2%, n.13) and third indent (4.0%, n.10) came next. Descriptiveness was raised in only 2.4% (n.6) of cases. Other reasons (such

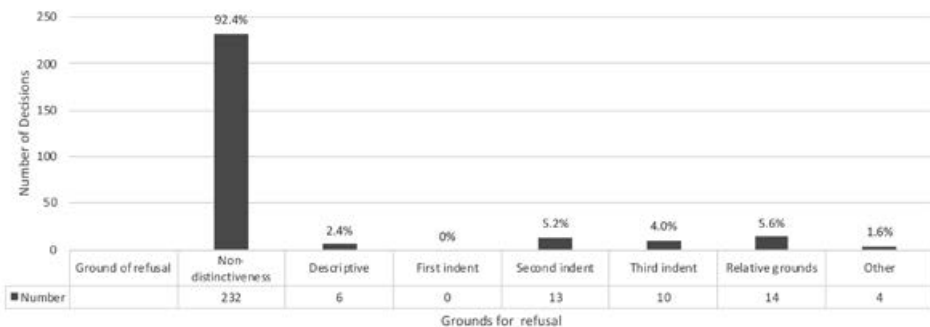


Figure 13.4 *Frequency/percentage of the different grounds for refusal*

⁵² It will be remembered that the EUIPO did not raise the ‘natural shapes’ exclusion of the first indent in relation to the cases in the dataset, and so this ground did not form part of this crosstabulation.

as problems with the representation of the mark) were present in just 1.6% (n.4) of cases and there were no decisions refused under the first indent. See Figure 13.4 and Tables 13.13–13.19.

Table 13.13 Refusals based on Art.7(1)(b) (lack of distinctiveness)

		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	Art.7(1)(b) not raised	19	6.5	7.6	7.6
	Art.7(1)(b) raised	232	78.9	92.4	100.0
	Total	251	85.4	100.0	
Missing		43	14.6		
Total		294	100.0		

Table 13.14 Refusals based on Art.7(1)(c) (descriptiveness)

		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	Art.7(1)(c) not raised	245	83.3	97.6	97.6
	Art.7(1)(c) raised	6	2.0	2.4	100.0
	Total	251	85.4	100.0	
Missing		43	14.6		
Total		294	100.0		

Table 13.15 Refusals based on Art.7(1)(e)(i) (First Indent)

		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	Art.7(1)(e)(i) not raised	251	85.4	100.0	100.0
Missing		43	14.6		
Total		294	100.0		

Table 13.16 Refusals based on Art.7(1)(e)(ii) (Second Indent)

		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	Art.7(1)(e)(ii) not raised	238	81.0	94.8	94.8
	Art.7(1)(e)(ii) raised	13	4.4	5.2	100.0
	Total	251	85.4	100.0	
Missing		43	14.6		
Total		294	100.0		

Table 13.17 Refusals based on Art.7(1)(e)(iii) (Third Indent)

		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	Art.7(1)(e)(iii) not raised	241	82.0	96.0	96.0
	Art.7(1)(e)(iii) raised	10	3.4	4.0	100.0
	Total	251	85.4	100.0	
Missing		43	14.6		
Total		294	100.0		

Table 13.18 Refusals based on Art.8 (Relative grounds)

		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	Art.8 not raised	237	80.6	94.4	94.4
	Art.8 raised	14	4.8	5.6	100.0
	Total	251	85.4	100.0	
Missing		43	14.6		
Total		294	100.0		

Table 13.19 Refusals based on other reasons

		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	Absent	247	84.0	98.4	98.4
	Present	4	1.4	1.6	100.0
	Total	251	85.4	100.0	
Missing		43	14.6		
Total		294	100.0		

6.6 Is Acquired Distinctiveness Argued in the Majority of Shape Mark Refusal Cases to Overcome Prejudices Regarding the Distinctiveness of Shape Marks?

Descriptive statistics demonstrated that acquired distinctiveness was argued in only 8.8% (n.26) of the refusal proceedings surveyed, meaning that the hypothesis that acquired distinctiveness would be argued in the majority of shape refusals was false (see Table 13.20 and Figure 13.5).

It should be noted that acquired distinctiveness was not demonstrated in *any* of the 294 refusal decisions surveyed. This is not entirely surprising. If the marks in question had acquired distinctiveness, they probably would not have been refused registration given that it appears to be lack of distinctiveness, rather than functionality (which cannot be overcome by acquired distinctiveness), that is driving shape refusals.

Table 13.20 Refusals where acquired distinctiveness was claimed

		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	No	225	76.5	89.6	89.6
	Yes	26	8.8	10.4	100.0
	Total	251	85.4	100.0	
Missing		43	14.6		
Total		294	100.0		

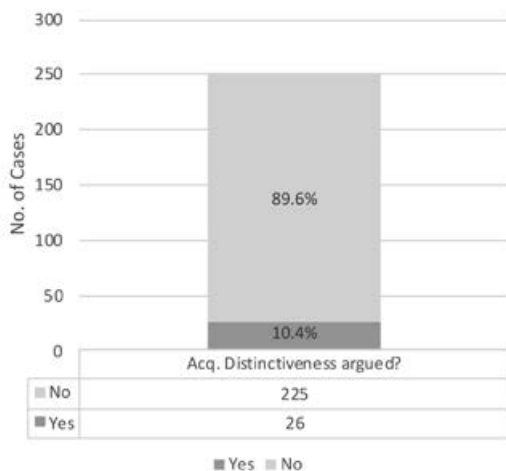


Figure 13.5 *Number/percentage where acquired distinctiveness was argued*

7. DISCUSSION AND NEXT STEPS

Certain of the results in this study confirm empirically what trade mark lawyers already suspect. It is little surprise that more black and white marks are refused registration than colour marks and likewise that more marks without non-3D features are refused registration than those with. This is because both colour and non-3D features – providing they are non-trivial – can contribute to making the mark different from those already on the market, and so less likely to be considered devoid of distinctive character. Likewise, we might instinctively expect more product shapes to be refused registration than packaging shapes given that these are likely to have the greatest effect on competition. Additionally, undertakings have always used product packaging to convey information about goods (whether or not that packaging was allowed to be registered) and so consumers are arguably more likely to derive messages about origin from packaging than the shape of the product itself. What is perhaps challenging is that, according to the CJEU’s jurisprudence,⁵³ competition concerns are only meant to be considered directly at least as part of the Article 7(1)(e) analysis. Yet we might suspect from these results that, as Dinwoodie has previously suggested,⁵⁴ effect on competition might be being indirectly considered through Article 7(1)(b) given that more of the forms of marks that are likely to restrict competition are being refused registration.

However, a limitation of this study is that, as mentioned, because only refused marks were examined, we cannot prove from this data that black and white, product shapes or marks

⁵³ *Henkel v OHIM*, n 5, [45]–[46]; *SAT.1 SatellitenFernsehen GmbH v OHIM* (Case C-329/02 P) [2005] ETMR 20; ECLI:EU:C:2004:532, [23]–[27].

⁵⁴ Dinwoodie, *Conceptual Lessons*, n 2, pp. 24–25: ‘Although concerns for competition have nominally been pushed (in large part) into assessments of descriptiveness and the requirement of a sign capable of graphic representation, the settled approach to assessing the distinctive character of shapes and colors is, I would suggest, a normative rule embedded in what is supposedly simply an empirical assessment.’

without non-3D matter are more likely to be refused registration as we do not know in what proportion such marks were applied for, compared to colour marks, packaging shapes and marks with non-3D matter. Further research (which is part of this author's wider project) is needed to determine which forms of shape marks are most likely to be refused registration by contextualising this data against the universe of all 3D shape marks applied for and ultimately registered in the relevant period.

In terms of *why* marks are being refused, here the results are more surprising. This study has shown that functionality has had only a very small role in shape marks being refused over the past five years and almost no independent role. This is important for a number of reasons.

The first question to ask is *why* is functionality being sidelined? Ramírez Montes⁵⁵ suggests that there is a reluctance on the part of examiners to apply functionality because it is perceived as 'harsh' due to its inability to be overcome with evidence of acquired distinctiveness. Other possibilities include it being too complicated to apply,⁵⁶ requiring too much evidence or that it is just much less challenging to demonstrate a lack of distinctive character. These are not questions that a study of this nature can answer, though there is future scope for asking the actors involved in the system, particularly those examining marks, why this state of affairs may have arisen.

The next question we might ask is, if functionality has such a limited independent role, is it worth even having it as a ground for the refusal of registration? The Max Planck Report⁵⁷ suggested that the first indent (shapes resulting from the nature of the goods) overlapped with lack of distinctive character, and so it could safely be removed from the Directive and Regulation. Given the results of this study we might ponder whether the same is true of the second or third indent too, given that they have been shown, in this dataset, to overlap almost entirely with distinctiveness. However, a change to the legislation is unlikely at this point in time. More importantly, the empirical data for which marks are being refused does not tell us whether the presence of the functionality grounds deters applicants from applying for marks which would be competitively harmful in the first place. It is very possible that the existence of the functionality exclusions is having a deterrent effect against the registration of functional marks. The existence of the functionality exclusions also sends a powerful signal that marks that have a negative effect on competition should not be registered, even if the ultimate ground on which they are refused registration may well be lack of distinctiveness. Functionality should also prevent the registration of marks which may have only acquired a distinctive character because they have enjoyed a monopoly through patent or design protection, which has

⁵⁵ César Ramírez-Montes, 'Proving inherent distinctiveness of trade dress marks: does European Union law depart significantly from the norm? Part 1' [2019] *Intellectual Property Quarterly* 224, 236 onwards.

⁵⁶ The various steps that need to be undertaken to show technical functionality are detailed in Ilanah Fhima, 'Functionality in Europe: When do Trademarks Achieve a Technical Result?' (2020) 110(3) *The Trademark Reporter* 659.

⁵⁷ *Max Planck Report*, n 22. Though in later writing, 'Aesthetic functionality in EU law – should it be deleted?' in Dinwoodie and Janis, *Research Handbook*, n 4, pp. 188–191, Kur has clarified that it was never the intention to grant registration to the sorts of marks that might fall under the third indent and that it was always the intention to ensure that competition was protected. While the Max Planck Report suggests that distinctiveness and descriptiveness might be the vehicles for providing this competition, in later writing she suggests a US-style exclusion merging technical and aesthetic functionality with protection of competition as the ultimate goal behind both.

prevented competitors from offering goods having a similar appearance. An example would be the three-headed shaver which was the subject of *Philips v Remington*.⁵⁸ It should be noted though that, given that no marks were found to have acquired distinctiveness in the five-year period studied, there were no examples of functionality playing such a role in this study. While removing the functionality exclusion is unlikely, and on balance ultimately undesirable, the fact that this study demonstrates that it is seldom relied on when marks are refused does suggest that the time is ripe for an examination of whether the exclusion is doing what it is meant to do particularly in terms of protecting competition. If it is not, we need to ask why.

A further concern is that the grounds for refusal are meant to be considered in the light of the public policy underlying them. In the case of functionality, this policy is based on the access needs of competitors. However, for marks which are devoid of distinctive character, competition concerns are *not* meant to be considered and instead the examination is meant to be limited to the ability of the mark to function as a trade mark. If functionality is routinely not being considered, this means that the opportunity for competition issues to be considered during the examination of shape marks has all but disappeared. This is problematic, particularly given the impact that registering product features that make a good work can have on competition. In the light of this finding, there may be an argument for revisiting Kur's recommendation⁵⁹ that shape marks should be considered a special category with competition concerns forming part of the distinctiveness analysis, in the same way as availability to competitors forms part of the distinctiveness analysis for colour marks.⁶⁰ While it is true that competition concerns may alternatively be considered as part of the consideration of whether a mark is descriptive, the data shows that descriptiveness plays very little role in the shape mark cases, being raised only six times, and in a number of those cases, the descriptiveness arose from the wording on the label applied to the shape, rather than the shape mark itself.

It is also worth noting Adams and Scardamaglia's finding that, despite the lack of a functionality ground for refusal in Australia, there has been negative growth in the registration of non-traditional marks. While it might be tempting to assume that a lack of a functionality ground would lead to it to being much easier to register shape marks in Australia than in the EU, the research in this study suggests that functionality is doing very little work before the EUIPO in terms of blocking shape marks anyway, with lack of distinctiveness, a ground that Australia shares, playing the leading role instead. This, combined, with Adams and Scardamaglia's finding regarding the diminishing number of shape marks, suggests that further research might usefully explore whether the Australian approach to shape marks, and any lessons therein, is more similar than we might otherwise have assumed.⁶¹ In particular, further research might examine whether Australia has managed to incorporate competition concerns into its distinctiveness analysis and if so, whether Europe could do the same.

Finally, this study has shown a seeming reticence by those who are applying for shape marks to argue that their marks have acquired distinctiveness. Acquired distinctiveness was

⁵⁸ *Philips v Remington*, n 7.

⁵⁹ Kur, 'Too Common', n 4, pp 29–30.

⁶⁰ *Libertel Groep BV v Benelux-Merkenbureau* (Case C-104/01) [2003] ETMR 63: ECLI:EU:C:2003:244, [60].

⁶¹ However, see Michael Handler, 'Disentangling Functionality, Distinctiveness and Use in Australian Trade Mark Law' (2018) 42(1) *Melbourne University Law Review* 15. The author paints a bleak picture, arguing that the lack of a functionality doctrine has meant that functionality concerns have not been properly considered, and the operation of the distinctiveness exclusion has been distorted.

argued in only 8.8% of refusals. We might expect that number to be higher. It is acknowledged that proving acquired distinctiveness requires the gathering of a substantial amount of evidence, and is particularly challenging given the requirement that, for an EUTM, the mark must have acquired distinctiveness throughout the whole EU.⁶² However, once the mark is set to be refused, acquired distinctiveness is the only chance to ‘save’ the mark. Yet in most cases it just is not argued. This is despite the fact that in the overwhelming majority of cases, the data has shown that the reasons for the refusal of the mark is a lack of inherent distinctiveness which acquired distinctiveness can solve, rather than functionality which acquired distinctiveness would not ‘cure’. Why acquired distinctiveness is not argued more often is, at this point, a matter for speculation. Difficulties in gathering sufficient evidence may play a role, though it is worth noting that, unlike in the use-based US system, marks, including shape marks in Europe, can be applied for before they are used,⁶³ meaning that at least some of the marks may have never had the opportunity to acquire distinctiveness. However, if the difficulty is that it is just too difficult to demonstrate acquired distinctiveness across the EU we might ask if the standard is correctly calibrated. Given that the possibility of showing acquired distinctiveness was included in the EUTMR, to have a standard that is so unattainable that trade mark owners faced with the loss of their marks do not even try to demonstrate it is problematic.⁶⁴

AUTHOR NOTE

The author would like to thank Professor Nigel Balmer for his assistance with understanding the hidden depths of SPSS, Professor Jeanne Fromer and Professor Phillip Johnson for helpful comments and Dr Lynne Chave for excellent research assistance.

⁶² For 3D marks held to lack inherent distinctiveness, this objection applies throughout the EU territory. In such cases, the CJEU has confirmed that an applicant must demonstrate acquired distinctiveness throughout the EU too; *Société des Produits Nestlé SA v Mondelez UK Holdings & Services Ltd (formerly Cadbury Holdings Ltd)* (Case C-84/17 P) [2018] ETMR 38; ECLI:EU:C:2018:596. In that case, although Nestlé – seeking to register the shape of a four-fingered Kit Kat bar – had been selling the product in many EU member states for decades, the application failed because there had been no assessment of whether the shape had acquired a distinctive character in Ireland, Belgium, Luxembourg, Portugal or Greece. Although these countries represented only 10% of the EU population, lack of distinctiveness in some parts of the EU territory could not be offset by a higher level of awareness in others.

⁶³ Pursuant to EUTMR, Arts 18 and 58(1)(a), EUTMs can be registered for up to five years before they are liable for revocation on the grounds of non-use.

⁶⁴ For a detailed discussion on the application of acquired distinctiveness to non-traditional marks see Luis Porangaba, ‘Acquired Distinctiveness in the European Union: When Nontraditional Marks Meet a (Fragmented) Single Market’ (2019) 109(3) *Trademark Reporter* 619.